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POLICY NUMBER: **FP-FIN-003**

CONTRACT ACQUISITION COST

ACCOUNTING POLICY

The purpose of this policy is to provide guidance regarding Contract Acquisition Costs ("CAC") in order to align Hilton Worldwide Holdings Inc.'s ("Hilton's") accounting methodology with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standards Codification ("ASC").

POLICY STATEMENT

As part of certain Management Agreement (“MA”), Franchise Agreement (“FA”), and/or Marketing License Agreement (“MLA”) contract negotiations, Hilton may offer an incentive to hotel and resort owners to induce the owners to enter into new or amend existing MAs, FAs and MLAs.

A key money payment is the term used by Hilton for an incentive to a third-party owner that would not be provided otherwise, in exchange for the addition of new rooms or for the retention of existing rooms to Hilton’s portfolio. This may be achieved through the new execution, extension, or relicensing of a contractual arrangement.

SCOPE

The scope of the Policy covers incentives offered to hotel and resort owners that relate to the acquisition, amendment or extension of MAs, FAs, or MLAs that would not have been incurred but for the acquisition, amendment or extension of those agreements, and are expected to be recovered through revenue over the term of the contract. These incentives typically take the form of a cash payment, although in some circumstances it may be in another form that has value, such as a development note forgiven over the contract term, below market loan, guarantee or another form of consideration.

Cash payments are within the scope of the revenue recognition standard and this policy and are treated as a reduction in the transaction price (revenue) Hilton will recognize related to the MA, FA, or MLA. Guarantees are excluded from the scope of the revenue recognition standard. However, the fair value of the guarantee upon contract execution is treated as a fixed reduction in the transaction price (revenue) Hilton will recognize related to the MA, FA, or MLA and is within the scope of this policy. Finally, the present value of a below market loan, valued using market interest rates, is outside of the scope of this policy. However, the difference between the cash paid and the present value of the loan (i.e., the below market component) upon contract execution is treated as a fixed reduction in the transaction price (revenue) Hilton will recognize related to the MA, FA, or MLA and is within the scope of this policy. Subsequent changes in the fair value of guarantees and the present value of loans are outside the scope of this policy. Refer to **FP-FIN-026—Guarantees Accounting Policy** and **FP-FIN-010 Financing Receivable Accounting Policy**.

APPLICABILITY

This policy applies to all Finance personnel, as well as Development and Legal.

EXCLUSIONS/ EXCEPTIONS

A cash payment, development note forgiven over the contract term, below market loan, guarantee or another form of consideration is not considered a contract acquisition cost (“CAC”) if the consideration would have been given regardless of whether Hilton entered into, amended, or extended the MA, FA, or MLA, or if it is not expected to be recovered through revenue over the term of the contract.

Further, upfront fee reductions (e.g., extended fee ramp) are not capitalizable.

Revenue Concession: Refer to **FP-FIN-020—Revenue Recognition Accounting Policy**. CAC payments differ from revenue concessions because revenue concessions to a hotel or resort owner are not incurred in obtaining a contract and are not expected to generate future revenues that exceed the concession given.

Lease Incentives: Refer to **FP-FIN-007—Lease Accounting Policy**. Hilton may provide an up-front payment to a lessor in order to induce the lessor to lease a property to Hilton. As the arrangement is a lease, the payment falls outside the scope of the relevant guidance and Hilton cannot record the incentive payment as CAC but rather will treat it as a minimum lease payment.

Contingent Loan Commitments: Refer to **FP-FIN-026—Guarantees Accounting Policy**. CAC payments differ from contingent loan commitments because contingent loan commitments represent cash funded to a hotel that is due back upon the earlier of the hotel’s achievements of specified performance targets or contract termination.

Costs to Obtain a Contract: Refer to **FP-FIN-037—Costs to Obtain a Contract Accounting Policy** for details on capitalizing costs incurred relating to the successful acquisition of a contract that were not paid directly to the contracting third party of the acquired contract.

AUTHORIZATIONS

Required Consultations with Technical Accounting (“TA”)

Process Owners should ensure they are following the latest consultation requirements via the management or franchise license agreement checklist. Please also refer to Hilton’s **FP-FIN-400—Global Deal Approval Policy** for other required communication with TA.

TA must be notified to determine the appropriate accounting of any cure payments. A cure payment is an optional payment made by Hilton to an owner to remedy a performance target that was missed and prevent the early termination of the contract. For example, in certain MAs, owners are provided with the right to terminate the MA in the event the hotel’s operations fall below a contractual threshold. If the hotel’s operations were to fall below a contractual threshold, Hilton would then have the option to pay the owner (i.e., cure) the shortfall amount and suspend the owner’s termination right.

INITIAL RECOGNITION AND MEASUREMENT

a. Measuring the Total CAC

CAC is be measured at the fair value of the consideration provided to the hotel owner.¹

- For cash payments, the cash amount is deemed to be at fair value unless it has been determined the consideration was provided in the form of a below market loan.
- For guarantees (i.e., both performance guarantees and debt guarantees), the fair value of the consideration provided is equal to the fair value of the guarantee at the date of contract execution. Any changes in the fair value of the guarantee subsequent to the date of contract execution is not considered additional or less CAC and is outside the scope of this policy. Refer to **FP-FIN-026—Guarantees Accounting Policy** for discussion regarding calculating the fair value of and accounting for guarantees.
- For consideration provided in the form of a below market loan, the fair value of the consideration provided is calculated as the difference between the net present value (“NPV”) of the loan at the market interest rate and the contractual interest rate at the date of loan execution. This form of CAC also exists when cash is paid more than 12 months in advance or more than 12 months after the date Hilton begins to satisfy its performance obligation by transferring a promised good or service to the customer,² which typically aligns with the hotel opening or contract execution for hotels already open. Refer to the **Determining When to Capitalize the Allocated CAC** section below for more details.

For purposes of this policy, cash payments will be referred to as “cash CAC.” All other forms of CAC may be referred to as “non-cash CAC.”

Other forms of CAC may require other measurement techniques. TA should be consulted for any forms of CAC not discussed above.

Illustration I – Measuring the Total CAC

Facts:

ABC Company (“ABC”) entered into an MA with a Hotel Owner (“Owner”) in order to provide management services for the hotel. In order to obtain this contract, ABC agreed to pay \$3.0 million in cash to the Owner as an incentive, payable upon the opening of the hotel.

Analysis:

ABC measures the consideration transferred to the Owner at fair value.

Conclusion:

ABC measures the CAC transferred at \$3.0 million, as cash is deemed to be at fair value.

¹ ASC 805-50-30-1 through 2, Business Combinations, Related Issues, Initial Measurement
² ASC 606-10-32-27, Revenue from Contracts with Customers, Overall, Measurement

Illustration II – Measuring CAC for a Performance Guarantee**Facts:**

ABC entered into an MA with an Owner to provide management services for a new hotel. As an incentive to enter into the contract, ABC offered the Owner a performance guarantee that had an anticipated fair value of \$2.0 million at the date of contract execution. Upon hotel opening two years later, ABC remeasured the performance guarantee and determined it had a fair value of \$2.5 million.

Analysis:

ABC measures the consideration provided to the Owner equal to the fair value of the performance guarantee at the date of contract execution.

Conclusion:

ABC measures the CAC provided at \$2.0 million as this is the fair value of the performance guarantee at the date of contract execution. Refer to **FP-FIN-026—Guarantees Accounting Policy** for details on the accounting for performance guarantees.

b. Allocating CAC to Each Contractual Element

When a contract is executed that is fully in the scope of the revenue recognition standard (e.g., MA, FA, or MLA), the total CAC is allocated to each performance obligation identified within the contract based on their respective NPV of expected future cash flows as determined at contract execution,³ as this NPV represents their relative standalone selling price. While Hilton has determined there are multiple performance obligations within an MA or FA, refer to **FP-FIN-020—Revenue Recognition Accounting Policy** for details, for purposes of allocating CAC we generally only allocate CAC to the Hotel Management Services performance obligation and the Right to access Hotel System IP performance obligation as the standalone selling prices of the other performance obligations within an MA or FA are de minimis compared to these two performance obligations. Given the Hotel Management Services performance obligation and the Right to access Hotel System IP performance obligation generally have the same expected term, we consider them one performance obligation for purposes of the allocation. For example, if Hilton simultaneously negotiates and executes two MAs with the same owner, the total CAC for both MAs would be allocated between the MAs based on their respective NPV per the feasibility analysis performed during the deal approval process. However, if Hilton simultaneously negotiates a 20-year FA and a 10-year MA for the same property, further evaluation is performed to determine if the CAC should be allocated between these two agreements.

Additionally, when CAC payments are made related to elements that are both within and outside the scope of the revenue recognition standard (e.g., contract amendment plus a performance guarantee, legal settlement, loan), the total CAC is allocated between the elements within the scope of the revenue recognition standard (contract amendment) based on the discussion above and the fair value of the other element as determined through the relevant guidance. For example, if CAC is paid to simultaneously enter into or extend an MA and to settle a lawsuit, then the total CAC is bifurcated between the MA and legal settlement based on the NPV of expected future cash flows from the MA and the estimated fair value of the legal obligation. Any amounts allocated to the legal settlement are be expensed.

Illustration III – Allocating CAC to Each Contractual Element**Facts:**

Assume the same facts in Illustration I, but that the Owner and ABC entered into two separate MAs for the ABC London ("MA1") and ABC New York ("MA2") simultaneously. MA1 is expected to generate an NPV of \$5.0 million while MA2 is expected to generate an NPV of \$10.0 million. ABC still only transferred \$3.0 million in cash to the Owner in order to obtain both contracts.

Analysis:

ABC would allocate the \$3.0 million to each of the MAs based on the respective NPV of the expected future cash flows of each MA.

Conclusion:

ABC would allocate \$1.0 million of CAC to MA1 and \$2.0 million of CAC to MA2 as follows (\$ in millions):

³ ASC 606-10-32-28 through 29, Revenue from Contracts with Customers, Overall, Measurement

$$MA1 = \frac{\$5.0}{\$5.0 + \$10.0} = 33\% * \$3.0 = \$1.0$$

$$MA2 = \frac{\$10.0}{\$5.0 + \$10.0} = 66\% * \$3.0 = \$2.0$$

c. Evaluating Whether Allocated CAC is Capitalizable

CAC provided in connection with an MA, FA, or MLA is capitalizable if the NPV of the forecasted contractual cash flows for a new contract or the NPV of the forecasted incremental contractual cash flows in excess of the pre-amended contract for a contract amendment or extension exceeds the CAC.⁴ If the NPV of the forecasted contractual cash flows or incremental contractual cash flows is less than the CAC, only the CAC equal to the NPV, or incremental NPV, can be capitalized and the difference is expensed when the capitalizable portion of CAC is recognized.

Illustration IV – Evaluating Whether Allocated CAC is Capitalizable

Facts:

Assume the same facts in Illustration III.

Analysis:

In evaluating whether the allocated CAC to MA1 and MA2 are capitalizable, ABC would assess whether the estimated NPV of each MA is greater than or less than the CAC allocated to each MA, respectively.

If the NPV of the MA is greater than the CAC allocated to that MA, then the CAC would be capitalizable, otherwise the CAC would only be capitalizable to the extent that there is NPV.

Conclusion:

ABC evaluated each MA separately. ABC noted that for MA1 that the \$5.0 million NPV of MA1 is greater than the allocated \$1.0 million of CAC to MA1 and therefore, the full \$1.0 million of CAC is capitalizable. ABC performed the same analysis for MA2 and noted that the \$10.0 million NPV of MA2 is greater than the allocated \$2.0 million of CAC to MA2 and therefore, the full \$2.0 million of CAC is capitalizable.

d. Determining When to Capitalize the Allocated CAC

Capitalizable CAC allocated to a performance obligation is recorded as a finite-lived intangible asset on the date that (1) Hilton begins to satisfy its performance obligation by transferring a promised good or service to the customer (i.e., generally hotel opening)⁵ or (2) in instances of non-cash CAC, it is made available to the owner (e.g., loan disbursement date or beginning of a debt guarantee), and it is probable the conditions which will obligate Hilton to provide CAC will be met.⁶ Any cash CAC paid prior to Hilton beginning to satisfy its performance obligation is recorded as a note receivable and is reclassified to a finite-lived intangible asset when Hilton begins to satisfy its performance obligation. Significant judgment may be necessary to make this determination depending on the arrangement and Hilton will document its considerations and conclusions as appropriate. Additional guidance is provided below.

Beginning to Satisfy a Performance Obligation

Generally, Hilton begins to satisfy its performance obligations upon hotel opening. For example, Hilton will begin to satisfy its Hotel Management Services performance obligation under an MA, in which the hotel will convert to one of Hilton's brands, on the handover date (rather than the rebranding/opening date).

Probable Obligation to Provide CAC

Generally, it is understood that Hilton's obligation to provide CAC is probable when there is approximately a 75% or greater likelihood that the conditions which will obligate Hilton to provide CAC will ultimately occur. Hilton will evaluate specific facts and circumstances in evaluating this probability estimate.

⁴ Financial Accounting Standards Board, *Statement of Financial Accounting Concepts No. 6*, paragraph 26

⁵ ASC 606-10-32-27, *Revenue from Contracts with Customers, Overall, Measurement*

⁶ Financial Accounting Standards Board, *Statement of Financial Accounting Concepts No. 6*, paragraph 36

For example, if Hilton begins to satisfy its performance obligations by transferring a promised good or service to the customer on the handover date, but the CAC is not due until the rebranding/opening date, which is not certain to occur, Hilton will assess whether it is probable the rebranding/opening date will occur, requiring Hilton to pay the CAC.

Illustration V – Determining When to Capitalize the Allocated CAC

Facts:

ABC Company (“ABC”) entered into an MA with a Hotel Owner (“Owner”) in order to provide management services for the hotel. In order to obtain this contract, ABC agreed to pay \$3.0 million in cash to the Owner as an incentive, payable one month prior to the opening of the hotel. If the hotel does not open, the Owner is required to repay the \$3.0 million to ABC.

Analysis:

ABC will record the CAC provided as an intangible asset, or a note receivable if the CAC is paid prior to hotel opening, on the earlier of when the CAC was paid to the Owner or upon the hotel opening as that represents the date when the performance obligation begins to be satisfied related to the CAC.

Conclusion:

ABC determined since they paid the \$3.0 million of CAC to the Owner prior to the opening of the hotel (date when the performance obligation begins to be satisfied), the CAC will be recorded as a note receivable upon payment. Once the hotel opens and ABC begins to satisfy its performance obligation, the CAC amount will be reclassified from notes receivable to an intangible asset.

SUBSEQUENT MEASUREMENT

a. *Determining the Amortization Period for the Capitalized CAC*

Capitalized CAC is amortized on a straight-line basis as a reduction to revenue⁷ over the contract term, including any renewal periods at Hilton’s sole option. This may differ from the contractual amortization of the CAC. If the CAC is capitalized subsequent to hotel opening (e.g., upon contract amendment), it will be amortized on a straight-line basis as a reduction to revenue prospectively over the remaining contract term, including any renewal periods at Hilton’s sole option, beginning on the capitalization date.

Illustration VI – Determining the Amortization Period for the Capitalized CAC

Facts:

Assume the same facts in Illustration IV and, in addition, that the term of MA1 is 10 years and that the term of MA2 is 10 years with an option to renew for 10 years at ABC’s sole option. Additionally, the hotel associated with MA1 opened on 1/1/20X1 while the hotel associated with MA2 ran into some construction delays and did not open until 4/1/20X1.

Analysis:

ABC will amortize the allocated and capitalized CAC over the period when ABC begins to satisfy its performance obligation by transferring goods or services to the customer through the completion of the performance obligation. ABC determined that the performance obligation period for MA1 is 10 years and for MA2 is 20 years as ABC is reasonably assured of exercising the renewal option for the additional 10-year period.

Conclusion:

In assessing the amortization period for the MAs, ABC noted that the performance obligations began to be satisfied upon each of the hotel’s opening date and will last through the term of each of the MA’s terms plus any renewal periods at ABC’s sole option. Therefore, ABC will amortize the \$1.0 million capitalized CAC associated with MA1 on a straight-line basis over a 10-year period beginning on 1/1/20X1 and will amortize the \$2.0 million capitalized CAC associated with MA2 on a straight-line basis over a 20-year period beginning on 4/1/20X1.

⁷ ASC 606-10-32-27, *Revenue from Contracts with Customers, Overall, Measurement*

b. Contract Modifications

Subsequent to contract onset, Hilton may modify and amend an agreement with a customer. Depending on the terms of a contract modification, the modification may be accounted for as a separate contract or as the termination of the existing contract and creation of a new contract. Refer to **FP-FIN-020—Revenue Recognition Accounting Policy** for more discussion on accounting for a contract modification.

If Hilton determines the contract modification is a separate contract, then the remaining CAC balance related to the original contract will continue amortizing over the original contract term. Any new CAC provided to the Owner as a part of the contract modification that is supported by the incremental contract NPV is amortized over the term of the contract modification. However, if Hilton determines the contract modification represents a termination of the existing contract and creation of a new contract, the net book value ("NBV") of any remaining CAC plus any new CAC provided to the Owner as a part of the contract modification that is supported by the incremental contract NPV, is amortized prospectively through the termination date of the new contract.

Illustration VII – Contract Modifications**Facts:**

Scenario 1: ABC entered into MA1 for 10 years, providing CAC of \$1 million to the Owner. At the end of year 9, ABC negotiated a new 10-year MA beginning after the end of the existing contract based on the current market fee terms, inclusive of a \$2 million CAC payment. The remaining NBV of the initial CAC payment was \$0.1 million at the time of the new contract execution.

Scenario 2: ABC entered into MA2 for 10 years, providing CAC of \$2 million to the Owner. At the end of Year 5, ABC executed a contract amendment to extend the contract term by 5 years with no change in the previously negotiated fees to reflect the current market conditions and a CAC payment of \$1 million. The remaining NBV of the original CAC payment was \$1 million at the time of the contract amendment.

For both scenarios, ABC determined the incremental NPV of the amendment was in excess of the additional CAC payment.

Analysis:

Scenario 1: As the new contract added a term where the fees are priced at the current market conditions at the date of execution, the contract is a separate contract from the initial contract. The original CAC balance for MA1 is amortized over the remaining original term and the CAC related to the modification is amortized over the term of the new contract.

Scenario 2: As the contract extension added additional services that were not priced at the current market conditions at the time of execution, the contract amendment is considered the termination of the existing contract and creation of a new one, inclusive of the remaining term on the original contract. The NBV of the remaining CAC balance plus the new CAC provided to the Owner as part of the contract modification is amortized through the termination date of the new contract, beginning upon the contract amendment execution date.

Conclusion:

Scenario 1: ABC will continue to amortize the remaining \$0.1 million of CAC over the remaining 1-year term of the original contract and will amortize the new CAC amount of \$2 million provided as a part of the modification over the new contract term of 10 years, beginning in Year 11.

Scenario 2: ABC will amortize the \$1 million NBV of the original CAC plus the additional \$1 million of CAC provided as part of the contract modification (\$2 million CAC in total) over the remaining 10-year term of MA beginning upon the contract amendment execution date.

c. Impairment

If Hilton determines a CAC balance is no longer expected to provide economic benefit (e.g., an early contract termination), Hilton evaluates whether the event is an indicator of impairment or a change in the estimated useful life. Intangible assets associated with capitalized CAC become impaired when the carrying amount of the asset exceeds the remaining undiscounted forecasted contractual cash flows, including termination fees and CAC clawbacks, resulting in the amount being deemed not recoverable.⁸ If the remaining undiscounted forecasted contractual cash flows are in excess of the NBV of the CAC, Hilton will continue to amortize the NBV of the CAC over the shortened term.⁹

If the remaining undiscounted forecasted contractual cash flows are less than the NBV of the CAC, Hilton will record an impairment loss equal to the difference between the NPV of the remaining forecasted contractual cash flows and the NBV of the CAC, if any. If an impairment loss is recognized, the adjusted carrying amount of the intangible asset will be its new cost basis.¹⁰ This new cost basis will be amortized over the remaining useful life of the intangible asset. Restoration of a previously recognized impairment loss is prohibited. Refer to **FP-FIN-033—Impairment Accounting Policy** for details around Hilton's impairment process.

Illustration VIII – Impairment Loss

Facts:

Assume the same facts in Illustration VI, but that shortly after the opening of both hotels, the Owner files for bankruptcy and closes the hotels as of 12/31/20X1, terminating both MAs. Due to the Owner filing for bankruptcy, ABC does not anticipate collecting any of the receivable related to the management services fees earned and billed since the opening of the hotels, any termination fees, or any clawback of the \$3.0 million CAC. The carrying amount of the intangible assets on ABC's books as of 12/31/20X1 are \$0.9 million and \$1.9 million related to MA1 and MA2, respectively.

Analysis:

ABC considers whether the remaining undiscounted forecasted contractual cash flows are in excess of the CAC's \$2.8 million NBV.

Conclusion:

In making this assessment, ABC first determines the remaining undiscounted forecasted cash flows of both MAs. Since ABC has not collected any management service fees related to the operations of either of the hotels since opening and does not anticipate collecting those fees or any other fees owed by the Owner, the remaining undiscounted forecasted cash flows of both of the MAs are zero. Therefore, ABC will record an impairment loss of \$2.8 million as of 12/31/20X1.

Illustration IX – Accelerated Amortization/Change in Term

Facts:

Assume the same facts in Illustration VI, but that on 12/31/20X5, the Owner sells both hotels to a third-party buyer. The sale is expected to close as of 6/31/20X6, terminating both MAs at that time. The contractual clawback provisions related to the \$3.0 million CAC is over a 10-year period beginning upon the opening of the second hotel. Therefore, ABC will clawback \$1.6 million of CAC from the Owner upon the sale of the hotels. The carrying amount of the intangible assets on ABC's books as of 12/31/20X5 is \$0.5 million and \$1.5 million related to MA1 and MA2, respectively. The fees ABC expects to earn over the period from 1/1/20X6 through the expected termination date of 6/31/20X6 is \$0.5 million for each MA.

Analysis:

ABC considers whether the remaining contractual cash flows, including any expected terminations fees or CAC clawbacks, are sufficient to support the remaining CAC amount of \$2.0 million.

Conclusion:

In making this assessment, ABC first determined the remaining contractual cash flows of both MAs. The fees estimated to be earned over the remaining term of the MAs are \$0.5 million each, and the expected clawback of CAC is \$1.6 million, with \$0.5 million related to MA1 and \$1.1 million related to MA2. Therefore, since the remaining contractual cash flows of MA1 and MA2 of \$1.0 million and \$1.6 million, respectively, are greater than the respective NBVs of the CAC, ABC will not recognize any impairment loss but will accelerate the amortization of the remaining CAC of \$2.0 million over the remaining six-month term from 1/1/20X6 through 6/31/20X6.

⁸ ASC 360-10-35-17, *Property, Plant, and Equipment, Measurement of an Impairment Loss*

⁹ ASC 350-30-35-9, *Intangibles-Goodwill and Other, General Intangibles Other Than Goodwill, Subsequent Measurement*

¹⁰ ASC 360-10-35-20, *Property, Plant, and Equipment, Adjusted Carrying Amount Becomes New Cost Basis*

PRESENTATION

a. Below Market Loans

CAC in the form of a below market loan or a CAC cash payment made prior to hotel opening is classified as a note receivable within 'Other non-current assets' on the consolidated balance sheet. Upon hotel opening, CAC funded in advance will be reclassified to an intangible asset.

CAC cash payments, including payments made prior to hotel opening, are presented as 'Contract acquisition costs' within the operating activities section of the statement of cash flows. The amount equal to the NPV of a below market loan at the market interest rate is presented as 'Issuance of other financing receivables' within the investing activities section of the statement of cash flows while the remaining amount is presented as 'Contract acquisition costs' within the operating activities section of the statement of cash flows.

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Initial capitalization of CAC - payment prior to hotel opening	- Other non-current assets (debit) - Cash and cash equivalents (credit)	- N/A	- Operating Activities (outflow)
Initial capitalization of CAC – Issuance of a below market loan	- Other non-current assets (debit) - Cash and cash equivalents (credit)	- N/A	- Operating Activities (outflow) - Investing Activities (outflow)
Reclass of note receivable to CAC upon hotel opening	- Management and franchise contracts, net (debit) - Other non-current assets (credit)	- N/A	- N/A
Initial capitalization of CAC - hotel opening	- Management and franchise contracts, net (debit) - Accounts payable (credit)	- N/A	- Operating Activities (outflow)
Amortization of CAC Intangible Asset	- Management and franchise contracts, net (credit)	- Franchise Fees (debit); or - Base and other management fees (debit)	- Operating Activities (reconciling item to net income)
CAC write-off – Impairment Loss	- Management and franchise contracts, net (credit)	- Impairment loss (debit)	- Operating Activities (reconciling item to net income)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-007—Lease Accounting Policy](#)

[FP-FIN-010—Financing Receivable Accounting Policy](#)

[FP-FIN-020—Revenue Recognition Accounting Policy](#)

[FP-FIN-026—Guarantees Accounting Policy](#)

[FP-FIN-033—Impairment Accounting Policy](#)

[FP-FIN-037—Costs to Obtain a Contract Accounting Policy](#)

[FP-FIN-400—Global Deal Approval Policy](#)

TERM/ACRONYM	DEFINITION
Contingent Loan Commitment	A loan commitment for which payment is triggered by the failure of Hilton to meet a specific performance target within an MA. The amount paid is equal to the shortfall between actual performance and the performance target, up to any ceiling defined in the agreement. Payments made to the owner by Hilton are fully repayable to Hilton before or at contract expiration. Repayment terms vary contract to contract.
Contract Acquisition Cost ("CAC")	Capitalized amounts incurred to obtain a new or extend an existing management or franchise contract. This is the overarching term that encompasses cash Key Money, maintenance payments and other capitalized costs incurred in pursuit of acquiring contracts.
Cure Payment	Any optional payment made by at Hilton's discretion, to cure an act of default. Within the context of this policy, cure payments occur when Hilton has missed the contractual performance test within the hotel MA. Typically, the amount is determined by the difference between the hotel's operating performance and the performance target.
Hotel Management Services	Providing day-to-day management services in the operation of the hotels for the hotel owners.
Key Money	Any consideration provided to a third-party owner that would not be provided otherwise, in exchange for the addition of new rooms or for the retention of existing rooms to Hilton's portfolio. This may be executed through a new, extension, or relicensing of a contractual arrangement. Key money is not only cash consideration but can be in the form of any consideration that has value to a third-party owner, including but not limited to: funding of pre-opening or working capital, payment for PIP or other renovation costs, payment under a performance guarantee, or below market financing.
Performance Guarantee	A performance guarantee is a guarantee of a hotel's performance that contractually requires Hilton to make a payment to the hotel or resort owner to remedy a contractual default. This is different from a cure payment in that a cure payment can be made at Hilton's discretion.
Performance Obligations	A promise in a contract with a customer to transfer to the customer either: - A good or service (or bundle of goods or services) that is distinct - A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

Performance Target	A contractually agreed upon return for a specific period of time typically found within Hilton’s MAs. In the event of a failure, the owner typically has recourse (e.g., termination option). Performance Targets are typically based on certain operating metrics gauging hotel performance (e.g., Required Operating Target, Operating Performance Standard, Performance Test or RevPAR Test). Note: Performance Targets apply to performance guarantees, contingent loan commitments, and cure payment scenarios. However, the terms surrounding Hilton’s contractual obligations and rights determine whether Hilton would apply performance guarantee accounting, contingent loan commitment accounting, or cure payment accounting.
Right to access Hotel System IP	The right to access our hotel system IP, including brand IP, reservations systems and property management systems.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed e-mail.